

ILLUSTRATIVE STUDY

Not a client deliverable. Not tax advice.

ARDENNE CAPITAL PARTNERS IV SCSp

Transfer Pricing Analysis of Intra-Group Financing in a Luxembourg Private Equity Acquisition Structure

Shareholder loan and convertible preferred equity certificates issued by
Ardenne Lux Holdings S.à r.l., and the intra-group loan to Ardenne Bidco S.à r.l.

Pricing date **30 June 2026**

Financial period **30 June 2026 to 31 December 2026**

Prepared **September 2026**

Framework **Articles 56 and 56bis LIR; OECD Transfer Pricing Guidelines 2022, Chapter X**

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1 Purpose, scope and status of this document

1.1 Purpose

This document records the transfer pricing analysis supporting the terms of the intra-group financing put in place on the acquisition of the Valberg Actuation group by Ardenne Capital Partners IV SCSp. It establishes, first, whether the instruments issued by the Luxembourg acquisition vehicle are properly characterised as debt and, second, what rate of interest independent parties would have agreed for those instruments that are.

The analysis is prepared by reference to Article 56 and Article 56bis of the Luxembourg Income Tax Law and to Chapter X of the OECD Transfer Pricing Guidelines, which the Luxembourg tax administration applies as interpretative guidance on the arm's length principle.

1.2 Transactions covered

Three controlled transactions fall within scope. They are referred to throughout as TT1, TT2 and TT3.

Ref	Transaction	Counterparties	Principal
TT1	Subordinated shareholder loan, nine year bullet, fixed rate, interest accruing	Ardenne Capital Partners IV SCSp to Ardenne Lux Holdings S.à r.l.	EUR 120,000,000
TT2	Convertible preferred equity certificates, thirty year	Ardenne Capital Partners IV SCSp to Ardenne Lux Holdings S.à r.l.	EUR 20,000,000
TT3	Intra-group loan, eight year bullet, fixed rate	Ardenne Lux Holdings S.à r.l. to Ardenne Bidco S.à r.l.	EUR 90,000,000

The senior facility described at section 2.4 is a third party transaction. It is not a controlled transaction and is not priced in this document. It is used as an internal comparable uncontrolled price at section 8.3.

1.3 Status of this document

This is an illustrative study. It is not a client deliverable, it is not tax advice, and it has not been filed with any tax administration. The entities named in it are fictitious. It was prepared to demonstrate the application of Chapter X and Luxembourg domestic law to a private equity acquisition structure and to serve as a worked reference.

1.4 Basis of the financial data

The operating and financial data attributed to the target are the audited consolidated figures of a real listed European manufacturer of electromagnetic actuation and industrial brake systems for the financial year ended 31 December 2025, reproduced without adjustment and paired with a fictitious entity name. The market data at section 8 and Appendix 3 are published observations at or close to the pricing date of 30 June 2026. Sources are identified in each case. No proprietary database has been used, and every input can be verified from public sources.

Pricing date: 30 June 2026. Completion date: 30 June 2026. First financial period of Ardenne Lux Holdings S.à r.l.: 30 June 2026 to 31 December 2026.

2 The transaction structure

2.1 The fund

Ardenne Capital Partners IV SCSp is a Luxembourg special limited partnership constituted as a reserved alternative investment fund. It is a closed-end buyout fund of 2024 vintage with EUR 850 million of aggregate commitments, managed by Ardenne Capital Management S.à r.l., an authorised alternative investment fund manager. The partnership is tax transparent in Luxembourg and is not itself a taxpayer for corporate income tax purposes. Its investors are institutional limited partners in a range of jurisdictions.

Two features of the fund matter to the analysis and are returned to at section 7.3. Its term is ten years from final closing, extendable twice by one year. Its limited partnership agreement caps aggregate exposure to any single portfolio company at 20 per cent of commitments.

2.2 The Luxembourg holding chain

The acquisition is made through two Luxembourg private limited liability companies, each a fully taxable resident company of the kind commonly described as a SOPARFI. Neither benefits from a special tax regime.

Entity	Role	Funding received
Ardenne Lux Holdings S.à r.l.	Top Luxembourg holding company. Sole direct subsidiary is Ardenne Bidco. Holds no other assets.	EUR 25m ordinary equity, EUR 120m shareholder loan, EUR 20m CPECs
Ardenne Bidco S.à r.l.	Acquisition vehicle. Borrower of the senior facility. Acquires 100 per cent of the target.	EUR 75m equity and EUR 90m loan from Lux Holdings, EUR 150m senior facility
Valberg Actuation Holding B.V.	Target. Dutch resident operating holding company of the Valberg group.	Acquired for an enterprise value of EUR 304.8m

Ardenne Lux Holdings is capitalised with share capital of EUR 2,000,000 and share premium of EUR 23,000,000. It applies the EUR 165 million it receives as follows: EUR 75 million subscribed as share capital and premium in Ardenne Bidco, and EUR 90 million lent to Ardenne Bidco under TT3.

2.3 Sources and uses

	EUR m	Per cent
Uses		
Equity purchase price	274.5	87.1
Refinancing of existing target net debt	30.3	9.6
Transaction costs and financing fees	10.2	3.2
Total uses	315.0	100.0
Sources		
Senior term loan facility (third party, at Bidco)	150.0	47.6
Shareholder loan, TT1	120.0	38.1
Convertible preferred equity certificates, TT2	20.0	6.3
Ordinary share capital and premium	25.0	7.9

	EUR m	Per cent
Total sources	315.0	100.0

The enterprise value of EUR 304.8 million represents 8.0 times the target's normalised EBITDA for the financial year ended 31 December 2025 of EUR 38.1 million. The sponsor's total contribution of EUR 165 million represents 52.4 per cent of total uses, which is consistent with equity contributions observed in the European mid-market over the period.

2.4 The third-party senior facility

Ardenne Bidco is the borrower under a EUR 150 million senior secured term loan facility arranged with a syndicate of banks and institutional lenders. The facility has a seven year bullet maturity, bears interest at three month EURIBOR plus 335 basis points, and is secured by share pledges over Bidco and the target, by assignment of intra-group receivables and by a floating charge over the target's assets. It carries a springing net leverage covenant tested only on revolving facility utilisation.

The facility was negotiated between parties that are not associated with one another and its terms therefore reflect market conditions at the pricing date for this credit. That makes it the single most reliable evidential anchor available in this structure, and it is used as such at section 8.3.

2.5 Order of priority

The claims against the enterprise rank as follows, from most senior to most junior. The ranking is established by an intercreditor agreement and by the structural position of each claim in the chain.

Rank	Claim	Level	Amount, EUR m
1	Senior secured term loan facility	Ardenne Bidco	150.0
2	Intra-group loan, TT3	Ardenne Bidco	90.0
3	Shareholder loan, TT1	Ardenne Lux Holdings	120.0
4	Convertible preferred equity certificates, TT2	Ardenne Lux Holdings	20.0
5	Ordinary shares	Ardenne Lux Holdings	25.0

TT1 and TT2 are claims against a company whose only asset is the shares in Ardenne Bidco. They are therefore structurally subordinated to everything owed at Bidco level, including TT3, irrespective of any contractual subordination. This is the single most important fact in the pricing analysis and is developed at section 7.4.

3 The target group

3.1 Business

The Valberg group designs and manufactures electromagnetic actuators, industrial brakes and precision solenoid components, supplied principally to industrial automation, medical equipment and commercial vehicle customers across Europe, North America and Asia. Manufacturing is concentrated in Germany, the Czech Republic and China. The group completed the divestment of its automotive components division during 2025 and the figures below reflect continuing operations.

The business has three characteristics that bear on credit quality. It is cyclical, because demand tracks industrial capital expenditure. It is of modest absolute scale, with revenue below EUR 250 million. It has a

diversified customer base with no single customer above 8 per cent of revenue, which mitigates the first two points but does not remove them.

3.2 Financial profile

The audited consolidated figures for the two most recent financial years are set out at Appendix 1. The headline position at the pricing date is as follows.

	FY2025	FY2024
Revenue, EUR m	245.5	247.5
Normalised EBITDA, EUR m	38.1	33.2
EBITDA margin	15.5%	13.4%
Normalised EBITA, EUR m	25.3	20.4
Net profit, continuing operations, EUR m	13.6	8.4
Net debt, EUR m	30.3	103.4
Net debt to EBITDA	0.8x	2.7x
Total equity, EUR m	153.4	158.5
Finance expense, EUR m	3.8	4.0
EBITDA to finance expense	10.0x	8.3x

The target enters the transaction conservatively financed, with net leverage of 0.8 times and interest cover of ten times. Earnings improved materially in the year to 31 December 2025, with the EBITDA margin recovering to 15.5 per cent following the divestment of the lower margin automotive business.

3.3 Post-acquisition capital structure

The acquisition transforms that position. The table below sets out the pro forma credit metrics of the borrowing group immediately following completion, calculated on the FY2025 normalised EBITDA of EUR 38.1 million and on the interest rates determined at section 8.

Metric	Pro forma	Target pre-deal
Senior net debt to EBITDA	3.94x	0.80x
Total debt to EBITDA, including shareholder debt	7.61x	0.80x
Cash interest, EUR m	8.49	3.80
Total interest including accruing shareholder interest, EUR m	19.83	3.80
EBITDA to cash interest	4.49x	10.02x
EBITDA to total interest	1.92x	10.02x

Cash interest cover of 4.49 times is comfortable and reflects the fact that interest on TT1 accrues rather than being paid in cash. Total interest cover of 1.92 times is thin but positive, and it is this second measure that an independent lender would consider when assessing a claim ranking behind the senior facility.

4 Delineation of the shareholder loan

4.1 Why delineation precedes pricing

Section B of Chapter X requires the transaction actually undertaken to be accurately delineated before any question of pricing arises. An instrument that is labelled a loan but that an independent party would never have advanced is not a loan that has been mispriced. It is not a loan at all, and the correct adjustment is to deny the deduction entirely rather than to reduce the rate.

That distinction has practical consequences in Luxembourg that are more severe than a pricing adjustment. Requalification as equity denies the interest deduction, removes the corresponding liability from the net wealth tax base, and converts payments on the instrument into deemed distributions within the meaning of Article 164(3) of the Income Tax Law, with the withholding tax consequences that follow. Delineation is therefore taken first and taken seriously.

4.2 The contractual terms

Term	Provision
Principal	EUR 120,000,000, drawn in full at completion
Maturity	30 June 2035, nine years, bullet repayment
Interest	9.45 per cent per annum fixed, accruing and compounding annually, payable at maturity or on earlier prepayment
Ranking	Unsecured. Contractually subordinated to the senior facility under the intercreditor agreement. Ranks ahead of the CPECs and the ordinary shares.
Enforcement	The lender may accelerate on an event of default, subject to a standstill of 179 days under the intercreditor agreement
Covenants	Incurrence based limitations on additional indebtedness, disposals and distributions
Prepayment	Permitted at par at the borrower's option, mandatory on a change of control or a sale of the target
Governing law	Luxembourg

4.3 The test applied in Luxembourg

Luxembourg has no statutory thin capitalisation ratio. The characterisation of a financial instrument for tax purposes is determined by its economic reality rather than by its legal form or its accounting treatment. The Administrative Court recently confirmed that approach, upholding the requalification of interest-free shareholder loans as equity contributions.

The factors that drove the requalification in that case were the absence of any remuneration, the application of the proceeds to acquire long term participations, a debt to equity ratio of 99.998 to 0.002 which placed substantially the whole of the enterprise risk on the lender, the absence of guarantees or enforceable repayment terms, and a stated ten year maturity rendered meaningless by successive refinancing.

The Court also held that the 85/15 debt to equity ratio applied as administrative practice for holding companies is not legally binding. That holding cuts both ways. Compliance with the ratio does not establish debt characterisation, and a departure from it does not by itself preclude debt characterisation. What governs is whether an independent party would have advanced funds on comparable terms. The analysis below is conducted on that basis and the ratio is not relied on.

4.4 Application of the indicators

The indicators identified at paragraph 10.55 of Chapter X are applied to the terms at section 4.2.

Indicator	Application to TT1	Assessment
Fixed repayment date	Bullet maturity of 30 June 2035, no rollover mechanic, no discretion to extend	Supports debt
Obligation to pay interest	Unconditional 9.45 per cent fixed, accruing whether or not the borrower has distributable reserves	Supports debt
Right to enforce payment	Acceleration available on default, subject to a finite standstill rather than a permanent block	Supports debt
Rank relative to other creditors	Subordinated to the senior facility and structurally subordinated to Bidco creditors, but ranking ahead of the CPECs and the shares	Neutral
Presence of financial covenants	Incurrence covenants restricting leverage, disposals and distributions	Supports debt
Source of interest and principal	Exit proceeds and permitted distributions from Bidco, rather than a contracted cash flow stream	Weakly against debt
Ability to obtain lending from an unrelated party	A junior lender would advance a smaller amount at a higher rate. See section 6.1.	Neutral
Use of the proceeds	EUR 90m on-lent as debt and EUR 75m applied to subscribe equity in Bidco	Weakly against debt

4.5 Conclusion on TT1

Six of the eight indicators support debt characterisation and none points decisively the other way. The instrument carries a fixed maturity, an unconditional and quantified payment obligation, an enforcement right and covenant protection. It is subordinated, but subordination is a feature of a great deal of genuine third party debt and is a pricing input rather than a characterisation defect.

Two features are weaker and are recorded rather than glossed over. Interest accrues rather than being paid in cash, so the instrument is not serviced from operating cash flow during the hold period. Part of the proceeds funds an equity participation rather than working assets. Neither is decisive. Accruing interest is a common feature of arm's length junior debt, including payment in kind notes issued to third parties, and the funding of participations is the ordinary purpose of a holding company. The distinguishing feature of the requalified arrangements in the case law was the complete absence of remuneration combined with the absence of any enforceable repayment obligation. Neither is present here.

TT1 is accordingly delineated as debt. The pricing analysis at section 8 proceeds on that basis.

5 Delineation of the convertible preferred equity certificates

5.1 Terms of the instrument

Term	Provision
Principal	EUR 20,000,000, 20,000 certificates of EUR 1,000
Maturity	30 June 2056, thirty years
Yield	11.50 per cent per annum, accruing and compounding, payable only to the extent the issuer has distributable reserves and the board resolves to pay

Term	Provision
Conversion	Convertible into ordinary shares at the holder's option at any time and automatically on an insolvency event
Enforcement	No right to accelerate or to petition on non-payment of the yield
Ranking	Subordinated to all indebtedness including TT1. Ranks ahead of ordinary shares only.
Holder	Ardenne Capital Partners IV SCSp, which also holds 100 per cent of the ordinary shares

5.2 Application of the indicators

Indicator	Application to TT2	Assessment
Fixed repayment date	Thirty year term, and the instrument converts rather than redeems on insolvency	Against debt
Obligation to pay interest	Yield payable only out of distributable reserves and only if the board resolves. Economically discretionary.	Against debt
Right to enforce payment	None. The holder cannot accelerate or petition.	Against debt
Rank relative to other creditors	Behind every other claim and ahead of ordinary shares alone	Against debt
Identity of the holder	Held by the sole shareholder in the same proportion as the ordinary shares, so the instrument cannot alter the economic sharing of returns	Against debt
Covenants	None	Against debt

5.3 Conclusion and recommendation on TT2

Every indicator points against debt. The holder has no enforceable claim to payment, no right to compel redemption within a commercially meaningful horizon, and no position in the capital structure distinguishable from that of a shareholder. Applying the economic reality test set out at section 4.3, an independent party would not have subscribed these certificates as a creditor, because on these terms it would hold none of the rights that make a creditor a creditor.

TT2 is delineated as equity. The yield is treated as a distribution, is not deductible, and is excluded from the interest limitation computation at section 9.1. The instrument is excluded from the net wealth tax liability computation at section 9.5.

Recommendation

Two courses are open. The first is to accept equity treatment, which is the conclusion reached here, and to recognise that the EUR 20 million tranche contributes no interest deduction. The second is to re-paper the tranche before the first accounting date as a second ranking interest bearing loan carrying a fixed ten year maturity, an unconditional payment obligation, an acceleration right on non-payment and a cross-default to TT1. On those amended terms the instrument would be delineated as debt and the pricing at section 8.6 would apply.

The first course is recommended. The structure already carries EUR 120 million of delineated debt at the same level, the incremental deduction from a further EUR 20 million is largely absorbed by the interest limitation analysed at section 9.1, and the hybrid mismatch exposure described at section 9.3 is materially

greater for a convertible instrument than for a plain loan. The marginal tax benefit does not justify the incremental characterisation and mismatch risk.

6 Options realistically available

6.1 The borrower's alternatives

Chapter X requires the terms of a controlled financing to be tested against the options realistically available to each party. The relevant question for Ardenne Lux Holdings is whether it could have raised EUR 120 million of nine year unsecured subordinated funding from a party other than its shareholder, and on what terms.

Three markets were available at the pricing date. Each is assessed on the borrower's actual credit profile as determined at section 7.

- The European high yield bond market. A holding company note of this profile would be rated in the B minus area. The market was open at the pricing date, with EUR 63 billion of euro high yield issuance in the first half of 2026. A EUR 120 million issue is below the size at which the market operates efficiently for a single B minus credit, and issuance costs, disclosure obligations and a listing would be required. Available in principle, at a higher all-in cost than the coupon alone.
- The private credit market. Junior capital from a direct lending or mezzanine fund is the closest substitute. Funds active in the European mid-market at the pricing date would advance holding company paper at this leverage, typically at a smaller quantum relative to the senior tranche than EUR 120 million against EUR 150 million, and with an equity co-investment or warrant component. Available at a reduced amount and at a cost above the rate concluded at section 8.
- An increase in the senior facility. The senior lenders would not have advanced a further EUR 120 million. Total senior leverage would have risen to 7.61 times EBITDA against the 3.94 times actually agreed, which is outside the range at which the European mid-market senior market lends to a cyclical industrial credit of this scale.

The conclusion is that a third party alternative existed but on terms inferior to those agreed. That supports the commercial rationality of the arrangement from the borrower's perspective and sets an upper bound on the arm's length rate: the borrower would not rationally pay more than the cost of the best available third party alternative.

6.2 The lender's alternatives

The fund could have contributed the entire EUR 165 million as ordinary equity. It could have advanced a smaller loan. It could have declined the investment and deployed the capital elsewhere in its portfolio.

An independent lender in the fund's position would require a return that compensates for the risk of a subordinated unsecured claim on a leveraged cyclical industrial borrower over nine years. That is the return derived at section 8. The fund, unlike an independent lender, also holds the equity, and is therefore indifferent as between a return delivered through interest and a return delivered through capital appreciation. That indifference is precisely why the arm's length principle is applied: the allocation between the two affects the Luxembourg tax base even though it does not affect the fund.

6.3 Commercial rationality of the overall arrangement

The arrangement as a whole is one that independent parties could have entered into. The borrower obtains long dated junior funding at a cost below the best available third party alternative, on terms that do not require cash service during the hold period. The lender obtains a contractual return on part of its capital that ranks ahead of its equity. Neither outcome is one that only related parties would accept.

The recent decision of the Administrative Court in a case concerning the restructuring of an intra-group loan confirms that commercial rationality is assessed by reference to the economic circumstances and the realistic options available at the time, and that an independent creditor may rationally accept terms that appear disadvantageous in isolation where the alternative is worse. The same forward looking test is applied here at origination.

7 Credit assessment of the borrower

7.1 Approach

The rate on TT1 depends on the creditworthiness of Ardenne Lux Holdings as a borrower. That company has no operations and no assets other than the shares in and the receivable from Ardenne Bidco, so its creditworthiness cannot be assessed in isolation. The approach taken is the one ordinarily applied to holding company debt. The consolidated borrowing group is rated first, the holding company is then notched down to reflect its structural position, and the instrument is notched again to reflect its terms.

The rating is derived from a scorecard of quantitative and qualitative factors set out at Appendix 2. It is an indicative rating arrived at by applying published rating agency methodology criteria to the target group's audited figures and the pro forma capital structure. It is not a rating issued by a rating agency.

7.2 The consolidated group rating

The factors below are assessed on the pro forma position at section 3.3.

Factor	Measure	Indicated	Weight
Scale, revenue of EUR 245.5m	Small	B	High
Profitability, EBITDA margin 15.5 per cent	Adequate	BB minus	Medium
Senior leverage, 3.94 times	Moderate to high	B plus	High
Total leverage, 7.61 times	High	B minus	Medium
Cash interest cover, 4.49 times	Adequate	BB minus	High
Business risk, cyclical industrial with diversified customers	Moderate	B plus	High
Financial policy, sponsor owned with a finite horizon	Aggressive	B	Medium
Indicated consolidated group rating		B plus	

The group rating of B plus reflects a business that generates adequate cash interest cover at a moderate senior leverage, offset by small absolute scale, cyclicity and an aggressive financial policy. The full scorecard and the derivation of each factor score are at Appendix 2.

7.3 Implicit support in a sponsor owned structure

Paragraph 10.77 of Chapter X requires the effect of group membership on the borrower's creditworthiness to be taken into account. In a corporate group this ordinarily produces a rating uplift. The market assumes that a parent will support a subsidiary whose failure would damage the parent's own reputation and access to funding, and that assumption is reflected in the price at which the subsidiary borrows.

That reasoning does not transfer to a sponsor owned structure without examination. Four features distinguish a private equity fund from a corporate parent, and each reduces the expectation of support.

- **The fund has a finite life.** Ardenne Capital Partners IV has a ten year term from final closing. TT1 matures in year nine. Distress in a leveraged industrial credit typically emerges in the second half of the hold period, by which time the fund is in its realisation phase and has neither the mandate nor, in many cases, the undrawn commitments to inject further capital.
- **Reputational exposure is diversified and ring-fenced.** A corporate parent trades under a single name and a single credit story, so the default of a subsidiary contaminates the whole. A fund holds a portfolio of separately structured investments, each with its own financing group and no cross-guarantees. The failure of one portfolio company does not impair the sponsor's ability to raise acquisition debt for the others, and the market prices each structure on its own merits.
- **The limited partnership agreement constrains follow-on investment.** Aggregate exposure to any single portfolio company is capped at 20 per cent of commitments, and unfunded commitments are reserved against the pipeline. The sponsor's ability to support is limited by contract, not merely by will.
- **The sponsor's interest is an option, not an obligation.** Equity in a leveraged structure is economically a call option on enterprise value struck at the level of net debt. Where enterprise value falls below that strike the rational course is to abandon the position rather than to inject capital that would accrue to the benefit of creditors. A corporate parent frequently has strategic and operational reasons to act otherwise. A financial sponsor generally does not.

The counter-argument is that sponsors do in practice support portfolio companies, most visibly through equity cure rights exercised to avoid a covenant breach. That is accepted, but it does not change the conclusion. An equity cure is a contractual right of limited and capped amount, exercised where residual equity value remains. It is not an open ended commitment of the kind that supports a rating uplift, and lenders do not price it as one.

No implicit support uplift is applied. The borrower is assessed on the standalone credit of the group it heads.

7.4 Structural subordination and the instrument rating

Two notching steps are applied to the group rating of B plus.

Step	Basis	Rating
Consolidated borrowing group	Scorecard at Appendix 2, no implicit support uplift	B plus
Ardenne Lux Holdings as issuer	Structural subordination to EUR 150m of senior secured debt and EUR 90m of intra-group debt at Bidco. All value must pass through Bidco before reaching Lux Holdings.	B
TT1 as an instrument	Unsecured, contractually subordinated under the intercreditor agreement, interest accruing rather than cash paid, nine year bullet with no amortisation	B minus

One notch is applied for structural subordination and one for instrument terms. A wider notching gap could be argued on the basis that recovery on a holding company claim behind EUR 240 million of prior ranking debt would be low. Two notches is adopted as the central case and a three notch alternative is tested in the sensitivity at Appendix 4.

8 Benchmarking and the arm's length range

8.1 Method selection

The comparable uncontrolled price method is applied. Chapter X states a preference for it in financial transactions, and it is workable here because the instrument is a standard subordinated corporate obligation for which observable market pricing exists by rating category and tenor. No other method is appropriate: there is no comparable uncontrolled transaction between the same parties, a cost of funds approach would require the lender's own funding cost which for a fund is equity and not a debt cost, and profit based methods are not applicable to a financing instrument.

Two applications of the method are performed and reconciled. The first is external, using published euro high yield index data at the pricing date. The second is internal, building up from the third party senior facility described at section 2.4. The use of an internal comparable, adjusted for the differences between the two instruments, is the stronger evidence where one exists, and the external application serves as the corroborating test.

8.2 Primary application: rating matched market spread

Option adjusted spreads for euro denominated high yield debt at 30 June 2026 were as follows.

Rating category	OAS, basis points	Comparative, 2025
BB	175	198
B	350	332
CCC and below	1,054	1,097

The published B category spans the B plus, B and B minus notches, so its mean corresponds to a mid-B credit. TT1 is rated at the bottom of that band, and one notching step is therefore applied to move from the band mean to the B minus point. The group rating of B plus and the issuer rating of B derived at section 7.4 are absorbed within the band and are not adjusted for separately.

A spread for the B minus category is not separately published. It is derived by interpolation. The interval between the B and CCC categories spans three notching steps, being B minus, CCC plus and CCC. The implied step is therefore 704 basis points divided by three, or 235 basis points. The indicated B minus spread is 350 plus 235, or 585 basis points.

One limitation of this derivation is recorded. The CCC index at the pricing date contained a distressed tail, and a small number of issuers trading at distressed levels raises the index mean above the level at which a performing CCC credit would price. Deriving a notching step from the full B to CCC interval therefore risks overstating the step, which would overstate the arm's length rate and, with it, the Luxembourg interest deduction. A reduced step of 175 basis points is tested at Appendix 4 and produces the lower bound of the range.

The benchmark rate for a nine year euro obligation is taken at 3.10 per cent, derived from the German government curve around the pricing date. The nearest published close is the ten year Bund at 3.20 per cent on 31 July 2026, from which 10 basis points is deducted for the shorter tenor. A further 50 basis points is added for the illiquidity of a privately placed instrument relative to a listed index constituent.

Component	Basis points	Source
Nine year euro benchmark	310	German government curve at the pricing date

Component	Basis points	Source
B category option adjusted spread	350	Euro high yield market data, 30 June 2026
One notch step, B to B minus	235	Derived, see above
Illiquidity premium, private placement	50	Judgement
Indicated rate, primary application	945	9.45 per cent

8.3 Secondary application: build-up from the senior facility

The senior facility is an internal comparable. It is a genuine third party price for credit risk on the same enterprise at the same date. It differs from TT1 in security, in ranking, in tenor and in base rate convention, and each difference is adjusted for.

Component	Basis points	Basis of adjustment
Nine year euro benchmark, fixed rate equivalent	310	As section 8.2. The senior facility is floating at three month EURIBOR of 2.312 per cent.
Senior secured margin on the facility	335	Contractual. Consistent with the euro single B term loan average of 335 basis points in the second quarter of 2026.
Loss of security	125	Differential between secured and unsecured claims on the same issuer
Structural subordination at the holding company	175	One notch, applied at the reduced step tested at Appendix 4
Tenor extension, seven years to nine years	50	Term premium
Indicated rate, secondary application	995	9.95 per cent

The two applications reconcile to within 50 basis points, which is a reasonable degree of convergence for an instrument of this seniority. The senior facility at EURIBOR of 2.312 per cent plus 335 basis points gives an all-in cost of 5.65 per cent, against a reported average all-in yield of 5.81 per cent on euro single B term loans in the second quarter of 2026. That consistency supports the reliability of the facility as a comparable.

8.4 The arm's length range

The range is constructed from the sensitivity at Appendix 4, which varies the two judgements that drive the result: the size of the notching step and the number of notches applied.

	Lower bound	Central	Upper bound
Notching step applied	175 bp	235 bp	235 bp
Steps applied from the B band mean	1	1	1
Illiquidity premium	50 bp	50 bp	100 bp
Indicated rate	8.85%	9.45%	9.95%

The arm's length range for TT1 is 8.85 per cent to 9.95 per cent. The rate of 9.45 per cent contracted between the parties sits within that range, marginally above its midpoint of 9.40 per cent, and is adopted.

Interest on TT1 at 9.45 per cent on EUR 120 million is EUR 11.34 million for a full year.

8.5 Pricing of the downstream loan, TT3

TT3 is a loan from Ardenne Lux Holdings to Ardenne Bidco. It sits one level closer to the operating assets than TT1 and is therefore not structurally subordinated to the Bidco senior facility, although it is contractually subordinated to it. It carries an eight year bullet maturity and is unsecured.

Component	Basis points	Basis
Nine year euro benchmark, adjusted to eight years	305	Curve, five basis points below the nine year point
B category option adjusted spread	350	Group rating of B plus, notched one step for contractual subordination
Loss of security	125	As section 8.3
Illiquidity premium	50	As section 8.2
Tenor adjustment, seven to eight years	25	Term premium
Indicated rate for TT3	855	8.55 per cent

The indicated rate of 8.55 per cent is contracted. Applying the same sensitivity levers as for TT1, removing the illiquidity premium at the lower bound and doubling it at the upper, gives a range of 8.05 per cent to 9.05 per cent, and the contracted rate sits at its centre. Interest receivable on TT3 is EUR 7.70 million for a full year. The 90 basis point differential between TT1 and TT3 reflects the structural position of the two claims and is the quantified measure of the subordination analysed at section 7.4.

8.6 Pricing of the CPEC yield if re-papered

TT2 is delineated as equity at section 5.3 and is not priced. If the tranche were re-papered on the amended terms described in that section, it would rank behind TT1 at the same level in the chain and would attract one further notching step. On the central assumptions that gives a spread of 820 basis points over the nine year benchmark, or 11.30 per cent, against the 11.50 per cent yield currently carried. The contracted yield would be within an arm's length range on that basis. This is recorded for completeness and is not relied on.

9 Luxembourg tax treatment

9.1 Interest limitation under Article 168bis

Article 168bis of the Income Tax Law restricts the deduction of exceeding borrowing costs to the higher of 30 per cent of fiscal EBITDA and EUR 3,000,000. Two features of the rule drive the outcome for a holding company.

- Exempt income is excluded from fiscal EBITDA. Dividends received from Ardenne Bidco and exempt under Article 166 therefore contribute nothing to the 30 per cent measure.
- The administration applies the rule symmetrically. Taxable interest income is netted against borrowing costs in arriving at exceeding borrowing costs, rather than being added to the deduction capacity.

The computation at Ardenne Lux Holdings for a full financial year is as follows.

	EUR m	Note
Borrowing costs, interest on TT1	11.34	120.0 at 9.45 per cent
CPEC yield	nil	Delineated as equity at section 5.3
Less taxable interest income on TT3	(7.70)	90.0 at 8.55 per cent
Exceeding borrowing costs	3.64	
Fiscal EBITDA	nil	Only income is exempt dividends and interest
Deduction capacity, higher of 30 per cent of EBITDA and EUR 3m	3.00	Safe harbour applies
Deductible in the year	3.00	
Disallowed, carried forward without time limit	0.64	

The limitation bites, but only marginally. Three points follow.

First, the downstream loan is what keeps the position manageable. Without TT3, exceeding borrowing costs would be the full EUR 11.34 million against a capacity of EUR 3 million, and EUR 8.34 million would be disallowed each year. Deploying EUR 90 million of the funding as debt rather than as equity in Bidco reduces the annual disallowance from EUR 8.34 million to EUR 0.64 million. That is a structuring consequence of the transfer pricing analysis rather than a transfer pricing conclusion, but it is the reason the chain is built this way.

Second, the equity escape clause should be modelled. Article 168bis permits full deduction where the taxpayer's ratio of equity to total assets is equal to, or not more than two percentage points below, the equivalent ratio of the consolidated group. Ardenne Lux Holdings carries EUR 25 million of equity against EUR 165 million of assets, a ratio of 15.2 per cent, against a consolidated group ratio that is lower once the senior facility is included. The clause appears to be available and would eliminate the disallowance. It requires consolidated accounts prepared under an accepted standard and is not assumed here.

Third, fiscal unity is of limited assistance. An integration under Article 164bis with Ardenne Bidco would pool the two Luxembourg companies, but the operating income sits in the Dutch target, which cannot join a Luxembourg fiscal unity. The benefit is therefore smaller than it first appears.

Had the CPEC yield been treated as deductible interest, exceeding borrowing costs would have been EUR 5.94 million and the annual disallowance EUR 2.94 million. This reinforces the recommendation at section 5.3.

9.2 Participation exemption and expense allocation

The EUR 75 million holding in Ardenne Bidco qualifies for exemption under Article 166, the participation exceeding both the 10 per cent threshold and the acquisition price thresholds and being held for more than twelve months. Dividends received and gains on disposal are exempt.

Article 166(5) and Article 45(2) deny a deduction for expenses economically connected to exempt income, to the extent of the exempt income of the year. Interest on debt that funds the participation is such an expense. Allocating the EUR 140 million of funding received pro rata across the EUR 165 million of assets, 45.5 per cent of the interest on TT1, or EUR 5.16 million, is economically connected to the participation.

During the hold period Ardenne Bidco is not expected to distribute. Operating cash flow is applied to senior interest and to permitted capital expenditure. In the absence of exempt dividends there is no current disallowance, and the ordering is therefore that the Article 45(2) test is applied first and produces no restriction, after which Article 168bis is applied as at section 9.1.

The position reverses on exit. The recapture rule brings back into taxable income the aggregate of expenses previously deducted in connection with the participation, capped at the amount of the otherwise exempt gain. On a five year hold with EUR 3 million deducted annually, of which EUR 1.36 million is attributable to the participation on the pro rata allocation, the cumulative recapture is of the order of EUR 6.8 million. That is a modest figure against the expected gain, but it should be modelled in the exit tax analysis rather than discovered at the point of sale.

9.3 Hybrid mismatch screen

Article 168ter denies a deduction where a payment gives rise to a deduction without a corresponding inclusion as a result of a difference in the characterisation of the instrument between jurisdictions. The lender under TT1 and TT2 is a Luxembourg special limited partnership which is tax transparent and is not itself a taxpayer, so the analysis looks through to the investors.

For TT1 the risk is low. A loan carrying a fixed maturity, an unconditional payment obligation and an enforcement right is characterised as debt in substantially all investor jurisdictions, and the accruing interest is taxable to investors on an accruals or receipts basis according to local rules. A deduction without inclusion outcome would require an investor jurisdiction to characterise the instrument as equity and to exempt the return under a participation exemption. That combination is unlikely on these terms, but the position of investors in jurisdictions applying a substance over form test to accruing instruments should be confirmed.

For TT2 the risk is materially higher. A thirty year convertible instrument with a discretionary yield is exactly the profile that attracts equity characterisation abroad, and a participation exemption in the investor jurisdiction would then produce a mismatch. This is the second independent reason for the recommendation at section 5.3.

9.4 Circular 56/1 and whether it applies

Circular L.I.R. number 56/1 to 56bis/1 of 27 December 2016 applies to entities carrying on intra-group financing activity, being the granting of loans to associated enterprises funded by financial means and instruments. Ardenne Lux Holdings grants TT3 and funds it from TT1, so it carries on such an activity and falls within the scope of the circular in respect of it.

The simplification available for purely intermediary transactions is not elected. The transactions are not back to back. The amounts differ, EUR 140 million received against EUR 90 million on-lent. The tenors differ, nine and thirty years against eight years. The rates differ. EUR 50 million of the funding received is deployed as equity rather than on-lent. The circular's presumption is designed for a matched intermediary position and Ardenne Lux Holdings does not hold one. An analytical assessment of equity at risk is performed instead.

Equity at risk on the financing activity	Value	Note
Exposure, TT3 receivable	EUR 90.0m	
One year probability of default, B rating	5.5%	Published cumulative default studies
Loss given default, unsecured subordinated claim	65%	Recovery assumption of 35 per cent
Annual expected loss	EUR 3.22m	90.0 at 3.58 per cent
Capital multiple applied to unexpected loss	1.5x	Judgement
Equity at risk required	EUR 4.83m	5.4 per cent of exposure

Equity at risk on the financing activity	Value	Note
Equity actually held	EUR 25.0m	Share capital and premium

The abolished threshold of 1 per cent of the nominal value of the loans would have produced EUR 900,000. The analytical figure of EUR 4.83 million is materially higher, which is the expected result for a subordinated exposure to a leveraged borrower and illustrates why the former threshold was withdrawn. The EUR 25 million of ordinary equity held by Ardenne Lux Holdings comfortably exceeds the requirement, and the company is adequately capitalised for the risks it assumes.

9.5 Net wealth tax

Net wealth tax is charged at 0.5 per cent on unitary value up to EUR 500 million. The participation in Ardenne Bidco is excluded from the base under paragraph 60 of the Valuation Law, the Article 166 conditions being met. Debts economically connected to exempt assets are correspondingly not deductible.

	EUR m	Note
Participation in Ardenne Bidco	75.0	Exempt
Receivable under TT3	90.0	In the base
Total debt, TT1 and TT2	140.0	
Debt connected to the exempt participation, 45.5 per cent	(63.6)	Not deductible
Deductible debt	76.4	
Unitary value	13.6	90.0 less 76.4
Net wealth tax at 0.5 per cent	0.068	Exceeds the minimum charge

Had TT2 been delineated as debt, deductible debt would have been unchanged in aggregate because the additional EUR 20 million would be allocated on the same pro rata basis. The characterisation conclusion at section 5.3 is therefore close to neutral for net wealth tax purposes, which is a further reason not to pursue debt treatment for that tranche.

9.6 Documentation and reporting

Luxembourg imposes no prescribed transfer pricing documentation form for a local file. The obligation arises from the general duty of cooperation under paragraph 171(3) of the General Tax Law, read with Article 56 and Article 56bis, and the burden of substantiating the arm's length character of the terms rests on the taxpayer. A file of this kind, prepared contemporaneously with the transaction, discharges that burden. A master file and country by country report are separately required where the group meets the thresholds under the Law of 23 December 2016.

The financing should be screened against the DAC6 hallmarks before the first reporting deadline. The deductible cross-border payment hallmarks under category C are the relevant ones, and the position of each investor jurisdiction in relation to the accruing interest on TT1 should be confirmed as part of that screen.

10 Conclusions

The conclusions of this analysis are as follows.

1	TT1, the EUR 120 million shareholder loan, is accurately delineated as debt. It carries a fixed maturity, an unconditional and quantified payment obligation, an enforcement right and covenant protection. Accruing interest and the partial application of proceeds to an equity participation are recorded as the weaker features and neither is decisive.
2	TT2, the EUR 20 million of convertible preferred equity certificates, is accurately delineated as equity. The holder has no enforceable claim to payment and no position distinguishable from that of a shareholder. The yield is not deductible.
3	No implicit support uplift is applied to the borrower's credit assessment. A private equity sponsor has a finite fund life, ring-fenced reputational exposure, contractual limits on follow-on investment and an option-like economic interest. The borrower is assessed on the standalone credit of the group it heads, indicated at B plus, notched to B minus at the level of TT1.
4	The arm's length range for TT1 is 8.85 per cent to 9.95 per cent. The contracted rate of 9.45 per cent is within the range, marginally above its midpoint. Interest of EUR 11.34 million per annum arises.
5	The arm's length range for TT3 is 8.05 per cent to 9.05 per cent. The contracted rate of 8.55 per cent is at its centre. The 90 basis point differential to TT1 is the quantified measure of structural subordination.
6	Exceeding borrowing costs at Ardenne Lux Holdings are EUR 3.64 million against a deduction capacity of EUR 3.00 million. EUR 0.64 million is disallowed and carried forward without time limit. The equity escape clause under Article 168bis should be modelled and would, if available, eliminate the disallowance.
7	Circular 56/1 applies to the financing activity but the intermediary simplification is not elected, the transactions not being back to back. Equity at risk of EUR 4.83 million is required against EUR 25 million held.

Recommendations

- Accept equity treatment for the CPEC tranche rather than re-papering it. The incremental deduction is largely absorbed by the interest limitation and the hybrid mismatch exposure on a convertible instrument is materially greater than on a plain loan.
- Model the equity escape clause under Article 168bis before the first tax return, and obtain consolidated accounts prepared under an accepted standard if the clause is to be relied on.
- Confirm the characterisation of TT1 in the principal investor jurisdictions before the first DAC6 reporting deadline.
- Model the Article 166 recapture in the exit analysis. On a five year hold the cumulative recapture is of the order of EUR 6.8 million.

11 Limitations and basis of preparation

This document is an illustrative study prepared for portfolio and training purposes. It is not a client deliverable, it is not tax advice and it has not been filed with any tax administration. No reliance should be placed on it.

The entities named are fictitious. The operating and financial data attributed to the target are the audited consolidated figures of a real listed European manufacturer for the financial year ended 31 December 2025, reproduced without adjustment and paired with a fictitious name. No representation is made that the real company is or has been the subject of any transaction of the kind described.

The credit rating referred to throughout is an indicative rating derived by the author from published methodology criteria. It is not issued by a rating agency and carries none of the meaning that a rating agency assigns to a rating symbol.

Market data are published observations at or close to the pricing date of 30 June 2026, identified at Appendix 3. Where an observation at the exact pricing date was not published, the nearest available observation is used and identified as such. No proprietary database has been used. The benchmark curve point at 3.10 per cent is derived rather than observed and is identified as a derived figure wherever it appears.

The analysis has been prepared on the terms of the instruments as described at sections 4.2 and 5.1 and on the capital structure at section 2.3. A change to any of those terms would require the analysis to be revisited.

Appendix 1 Target financial data and derived ratios

Source: audited consolidated financial statements of the listed European manufacturer whose figures are used as the target data set, financial year ended 31 December 2025, continuing operations. Figures in EUR million unless stated.

A1.1 Reported figures

	FY2025	FY2024
Revenue	245.5	247.5
Normalised EBITDA	38.1	33.2
Normalised EBITDA margin	15.5%	13.4%
Normalised EBITA	25.3	20.4
Net profit, continuing operations	13.6	8.4
Net profit, total	19.5	(4.5)
Net debt	30.3	103.4
Net debt to normalised EBITDA	0.8x	2.7x
Total equity	153.4	158.5
Total assets	272.2	364.8
Equity to total assets	56.4%	43.4%
Finance expense	3.8	4.0

A1.2 Pro forma capital structure and derived ratios at completion

	Amount	x EBITDA
Senior secured term loan, at Ardenne Bidco	150.0	3.94x
Intra-group loan TT3, at Ardenne Bidco	90.0	2.36x
Shareholder loan TT1, at Ardenne Lux Holdings	120.0	3.15x
CPECs TT2, at Ardenne Lux Holdings	20.0	0.52x
Ordinary equity	25.0	0.66x
Enterprise value	304.8	8.00x

Interest computation, full year	Rate	EUR m
Senior facility, EUR 150.0m floating	5.662%	8.49
TT1, EUR 120.0m fixed, accruing	9.450%	11.34
TT3, EUR 90.0m fixed, eliminates on consolidation	8.550%	7.70
Total external and shareholder interest		19.83
EBITDA to cash interest		4.49x
EBITDA to total interest		1.92x

Senior facility rate: three month EURIBOR of 2.312 per cent plus a margin of 335 basis points. TT3 interest is income at Ardenne Lux Holdings and expense at Ardenne Bidco and eliminates on consolidation of the borrowing group. It is relevant to the Article 168bis computation at section 9.1 because that rule applies on an entity basis.

Appendix 2 Credit scorecard

The rating indicated below is derived by the author from published rating agency methodology criteria applied to the audited figures at Appendix 1 and the pro forma structure at A1.2. It is not a rating issued by a rating agency and does not carry the meaning a rating agency assigns to a rating symbol.

A2.1 Quantitative factors

Factor	Value	Benchmark for B	Benchmark for BB	Score
Revenue	EUR 245.5m	below EUR 500m	EUR 0.5bn to 2bn	B
EBITDA margin	15.5%	8 to 12%	13 to 18%	BB minus
Senior net leverage	3.94x	4.0 to 5.5x	2.5 to 4.0x	B plus
Total leverage	7.61x	4.0 to 5.5x	2.5 to 4.0x	B minus
EBITDA to cash interest	4.49x	1.5 to 2.5x	3.0 to 5.0x	BB minus
EBITDA to total interest	1.92x	1.5 to 2.5x	3.0 to 5.0x	B
Equity to total assets, pro forma	7.9%	below 15%	15 to 30%	B

A2.2 Qualitative factors

Factor	Assessment	Score
Industry cyclicality	Industrial automation and commercial vehicle end markets track capital expenditure cycles. Peak to trough revenue decline of approximately 20 per cent observed in prior cycles.	B
Market position	Established positions in electromagnetic actuation niches with technical barriers to entry. Not a market leader in absolute scale terms.	BB minus
Customer concentration	No customer above 8 per cent of revenue. Diversified across three end markets and three regions.	BB
Geographic diversification	Manufacturing in Germany, the Czech Republic and China. Sales across Europe, North America and Asia.	BB minus
Financial policy	Sponsor owned with a finite hold period. Incurrence based covenant package. Dividend recapitalisation possible.	B
Management and governance	Continuity of the existing management team. Sponsor board control.	B plus

A2.3 Derivation

Step	Result	Reference
Weighted quantitative score	B plus	A2.1
Weighted qualitative score	B plus	A2.2
Indicated standalone group rating	B plus	

Step	Result	Reference
Implicit support adjustment	nil	Section 7.3
Ardenne Lux Holdings as issuer, one notch for structural subordination	B	Section 7.4
TT1 as an instrument, one notch for terms	B minus	Section 7.4

Appendix 3 Market reference data at the pricing date

All inputs used in the pricing at section 8 are listed below with the observation date and the source. Every figure is publicly available. No proprietary database has been used.

Input	Value	Observation date	Source
Three month EURIBOR	2.312%	1 July 2026	Published EURIBOR fixing, nearest observation to the pricing date
ECB deposit facility rate	2.25%	June 2026	European Central Bank
German ten year government bond yield	3.20%	31 July 2026	Published close, nearest observation available
Nine year euro benchmark, derived	3.10%	30 June 2026	Derived from the above less 10 basis points for tenor
Euro high yield BB option adjusted spread	175 bp	30 June 2026	Euro high yield market monitor, first half 2026
Euro high yield B option adjusted spread	350 bp	30 June 2026	Euro high yield market monitor, first half 2026
Euro high yield CCC option adjusted spread	1,054 bp	30 June 2026	Euro high yield market monitor, first half 2026
Euro single B term loan B margin	335 bp	Q2 2026 average	European leveraged finance market data
All European term loan B margin	330 bp	Q2 2026 average	European leveraged finance market data
Euro single B term loan B all-in yield	5.81%	Q2 2026 average	European leveraged finance market data
Euro high yield primary issuance	EUR 63bn	H1 2026	Euro high yield market monitor, first half 2026

A3.1 Consistency check on the internal comparable

The senior facility margin of 335 basis points is identical to the euro single B term loan average for the quarter in which the facility was arranged. Adding the three month EURIBOR fixing of 2.312 per cent gives an all-in cost of 5.65 per cent against a reported market average all-in yield of 5.81 per cent. The 16 basis point difference is within the range attributable to original issue discount and fee amortisation, which the market all-in yield measure includes and the contractual margin does not. The facility is therefore priced at market and is a reliable internal comparable.

Appendix 4 Pricing build-up, sensitivity and search criteria

A4.1 Derivation of the notching step

	Basis points	Note
Euro high yield B option adjusted spread	350	30 June 2026
Euro high yield CCC option adjusted spread	1,054	30 June 2026
Interval	704	
Notching steps spanned, B minus, CCC plus, CCC	3	
Implied step, full interval	235	Central case
Reduced step, distressed tail excluded	175	Lower bound case

The reduced step of 175 basis points is derived by re-anchoring the interval on the BB to B step of 175 basis points, which is unaffected by the distressed tail in the CCC index. It is applied where the sensitivity requires a conservative figure.

A4.2 Sensitivity on TT1

Scenario	Step	Steps from band mean	Illiquidity	Rate
Lower bound	175 bp	1	50 bp	8.85%
Central case	235 bp	1	50 bp	9.45%
Upper bound	235 bp	1	100 bp	9.95%
Two step alternative, tested not adopted	235 bp	2	50 bp	11.80%
Reduced step, two steps	175 bp	2	50 bp	10.60%

The two step alternatives are tested and not adopted. Two steps below the band mean would place the instrument at CCC plus, which implies a substantial probability of default within the term. That is not supported by cash interest cover of 4.49 times at the operating level, and the resulting rates fall outside the range at which junior capital was available to comparable European mid-market credits at the pricing date. The single step central case is adopted.

A4.3 Comparable selection criteria and rejection log

An index based application of the comparable uncontrolled price method has been used rather than a bond by bond search, because the instrument is unlisted, privately placed and of a size below the threshold at which individual euro high yield issues are efficiently comparable. The criteria applied to the index selection, and what was rejected, are recorded below.

Criterion	Applied	Rejected and why
Currency	Euro denominated	US dollar indices rejected. Base rate and spread levels differ materially and a cross-currency adjustment would introduce more error than it removes.

Criterion	Applied	Rejected and why
Rating band	B, with CCC used only to derive the notching step	BB rejected as the direct comparable. It overstates the borrower's credit by two notches.
Seniority	Unsecured corporate obligations	Secured loan indices used only as the starting point of the build-up at section 8.3, with an explicit adjustment for loss of security.
Tenor	Index average duration of approximately four to five years, adjusted to nine years	No tenor matched sub-index published. A 50 basis point term premium is applied instead.
Date	30 June 2026, or the nearest published observation	Observations more than 45 days from the pricing date rejected other than the ten year Bund close, for which no nearer published figure was available.
Issuer type	Corporate issuers	Financial issuers not separately excluded. Financials represented 22.6 per cent of the euro high yield index in the first half of 2026, which is noted as a limitation of the index approach.

A4.4 Summary of concluded rates

Transaction	Range	Contracted	Within range
TT1, shareholder loan	8.85% to 9.95%	9.45%	Yes
TT3, intra-group loan	8.05% to 9.05%	8.55%	Yes, at the centre
TT2, CPECs	Not priced	11.50% yield	Delineated as equity